

ORIGINAL

FEDERAL MARITIME COMMISSION

UNIVERSAL LOGISTIC FORWARDING
CO., LTD., - POSSIBLE VIOLATIONS OF
SECTIONS 10(A)(1) AND 10(B)(1)
OF THE SHIPPING ACT OF 1984

Docket No. 00-10

Served: January 18, 2002

Report and Order adopting Initial Decision in part and vacating Initial Decision in part.

BY THE COMMISSION: Harold J. CREEL, Jr., *Chairman*; Joseph E. BRENNAN, John A. MORAN, and Delmond J.H. WON, *Commissioners*.

COUNSEL: *Vern w. Hill* and *Heather M. Burns*, for the BUREAU OF ENFORCEMENT. No appearance for Respondent.

ORDER

This proceeding was initiated by the Federal Maritime Commission ("Commission") on August 10, 2000, as an investigation to determine whether the activities of a non-vessel-operating common carrier ("NVOCC"), Universal Logistic Forwarding Co. ("Respondent" or "Universal"), violated sections 10(a)(1)¹ and 10(b)(1)² of the Shipping Act of 1984 ("Shipping

¹ Section 10(a)(1) states that: No person may -
(1) knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight,

Act”), 46 U.S.C. app. §§ 1709 (a)(1) and (b)(1). The Commission’s Order of Investigation and Hearing (“Order”) directed that the following issues be determined:

- i. whether Universal violated section 10(a)(1) of the Shipping Act by knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or by any other unjust or unfair

false measurement, or by any other unjust or unfair device or means obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise be applicable.

² Section 10(b)(1) previously provided that: No common carrier, either alone or in conjunction with any other person, directly or indirectly, may -

(1) allow any person to obtain transportation for property at less than the rates or charges established by the carrier in its tariff or service contract by means of false billing, false classification, false weighing, false measurement, or by any other unjust or unfair device or means.

That section was amended by the Ocean Shipping Reform Act of 1998 (“OSRA”), Pub. L. 105-228, 112 Stat. 1902, and now appears as section 10(b)(2)(A), 46 U.S.C. app. § 1709(b)(2)(A) (1998), which provides that: No common carrier, either alone or in conjunction with any other person, directly or indirectly, may -

(2) provide service in the liner trade that -

(A) is not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under section 8 of the Act unless excepted or exempted under section 8(a)(1) or 16 of this Act.

In Stallion Cargo, Inc. - Possible Violations of Sections of 10(a)(1) and 10(b)(1) of the Shipping Act of 1984, 28 S.R.R. __ (2001), a case involving pre- and post-OSRA conduct, the Commission noted that sections 10(b)(1) and 10(b)(2)(A) were substantively similar.

device or means, obtained or attempted to obtain ocean transportation for property at less than the rates or charges that would otherwise have been applicable;

- ii. whether Universal violated section 10(b)(1) of the Shipping Xct by charging, demanding, collecting or receiving less or different compensation for the transportation of property than the rates and charges shown in its NVOCC tariff;
- iii. whether, in the event violations are found, civil penalties should be assessed against Universal and, if so, the amount of the penalties to be assessed;
- iv. whether, in the event violations are found, Universal's tariff should be suspended; and
- v. whether, in the event violations are found, an appropriate cease and desist order should be issued.

PROCEEDING

This proceeding was assigned to Chief Administrative Law Judge Norman D. Kline ("ALJ"). On September 8, 2000, the Bureau of Enforcement ("BOE") served discovery requests consisting of interrogatories and requests for production of documents on Universal, to which Universal failed to respond. BOE subsequently filed a motion to compel discovery, and when Universal failed to comply, filed a motion for sanctions. BOE then filed and served a pleading requesting adoption of a procedural schedule that would allow it to submit its evidence, and allow Universal to submit evidence on its own behalf. Universal again failed to respond. On March 23, 2001, BOE filed

a Motion for Summary Judgment urging the ALJ to find that Universal violated section 10(a)(1) of the Shipping Act by directly or indirectly obtaining transportation at less than the rates and charges otherwise applicable through the means of accessing a service contract of Translink, another NVOCC, to which it was not a signatory or affiliate, and section 10(b)(1) of the Shipping Act by charging, collecting or receiving less or different compensation for the transportation of property than the rates and charges shown in its NVOCC tariffs. Subsequently, the ALJ granted BOE's Motion for Summary Judgment in an Initial Decision ("I.D.") served April 11, 2000. The ALJ further determined that the maximum civil penalty in the amount of \$1,237,500 should be assessed and a cease and desist order should issue.

This proceeding is now before the Commission upon Chairman Creel's request for review. For the reasons set forth below, we adopt the ALJ's factual conclusions, affirm the issuance of the civil penalty, affirm the issuance of the cease and desist order, and vacate the ALJ's suspension of Respondent's "shell" tariff and the language ordering Respondent to "cease and desist from acting as an NVOCC until it has published a proper tariff containing realistic commodity rates."

DISCUSSION

In his Initial Decision, the ALJ ordered "that the 'shell' tariff currently published by Universal is suspended and Universal is ordered to cease and desist from acting as an NVOCC until it has published a proper tariff containing realistic commodity rates." (emphasis added) I.D. at 15. In effect, the ALJ agreed with BOE's characterization that Respondent's tariff is a "sham," containing only "three virtually meaningless N.O.S. rates," and ordered that Respondent cease and desist from employing such

a tariff and from violating the Shipping Act until it has published a “properly populated tariff.” Id. at 14. He further ordered that Respondent cease and desist from obtaining or attempting to obtain lower rates than would be properly applicable through the device of accessing Translink’s or any other person’s service contract, and ordered Respondent to cease and desist from charging rates other than those published in its tariff. Id. at 15.

Section S(a) of the Shipping Act provides, in pertinent part, that: “[e]ach common carrier and conference shall keep open to public inspection in an automated tariff system, tariffs showing all its rates, charges, classifications, rules, and practices between all points or ports on its own route and on any through transportation route that has been established.” 46 U.S.C. app. § 1707(a). The Commission has no authority to monitor the level of rates a common carrier, including an NVOCC, decides to publish in its tariff. Nor does it evaluate the reasonableness of those rates. In this regard, any assessment of what is a realistic rate, as mandated by the ALJ, would be fraught with subjectivity. Rather, the section 10 prohibitions simply require adherence to the rates and charges properly published in a common carrier’s tariff.³ Therefore, we vacate the language ordering Respondent to publish a tariff containing realistic commodity rates.

The ALJ also characterized Respondent’s tariff as a “shell” tariff, one containing only “three virtually meaningless Cargo N.O.S. rates.” I.D. at 13. While the presence of a “shell” tariff may indicate a situation where violations may occur, the mere existence of a “shell” tariff is not a violation of the Shipping Act. If an NVOCC publishes a tariff with a single Cargo, N.O.S. rate, it is in compliance with the Shipping Act as long as it charges that

³ The rates of controlled carriers, however, may be reviewed for their reasonableness. 46 U.S.C. app. § 1708.

rate. However, if it charges rates other than the single Cargo, N.O.S. rate published in its tariff, then a section 10(b)(1) violation may have occurred. See Seair Cargo Aeency Inc. d/b/a/ Seair International Line - Possible Violations Section 10(b)(1) of the Shinning Act of 1984, 27 S.R.R. 789 (I.D.), administratively final, October 25, 1996; ~~Haewoo Air & Shipping Co., Ltd. Possible Violations of Section 10(b)(1) of the Shipping Act of 1984~~, 27 S.R.R. 819 (I.D.), administratively final, October 29, 1996 (finding NVOCCs violated section 10(b)(1) of the Shipping Act by charging rates other than those published in their tariffs).

With respect to the first portion of the cease and desist order, the ALJ erroneously ordered Respondent to publish a proper tariff containing realistic commodity rates. The Commission's obligation with respect to tariffs is to ensure the accessibility and accuracy of automated systems. 46 U.S.C. app. § 1707(g). The carrier's obligation with respect to rate levels is to adhere to its published tariff. The Commission is not in the business of monitoring the reasonableness of those rates and charges.

Ordering Respondent to cease and desist from committing specific violations and engaging in specific conduct is sufficient. The language used in cease and desist orders generally mirrors the violations committed coupled with the statutory language. See e.g., Alex Parsinia d/b/a Pacific International Shipping and Cargo Express, 27 S.R.R. 1335 (I.D.), administratively final, December 4, 1997; Helen Khadem d/b/a Worldwide Cargo Express/Trading, 28 S.R.R. 994, administratively final, February 4, 1999. Thus, to the extent that the ALJ ordered Respondent to cease and desist from obtaining or attempting to obtain lower rates than would be properly applicable through the device of accessing Transhkn's or any other person's service contract, and to cease and desist from charging rates other than those published

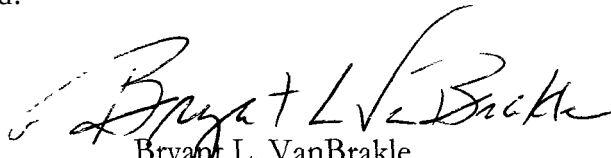
in its tariff, the Order is correct. Moreover, the ALJ noted that a cease and desist order is justified if there is a likelihood the offenses will continue. See Marcella Shipping Co., Ltd., 23 S.R.R. 857, 871 (I.D.), administratively final, March 26, 1986. A cease and desist order was properly issued to the extent explained, and we agree with the ALJ's assessment in this case.

THEREFORE, IT IS ORDERED, That the Initial Decision is adopted, to the extent discussed above;

IT IS FURTHER ORDERED, That the ALJ's suspension of Respondent's "shell" tariff, the language that orders Respondent to publish a proper tariff containing realistic commodity rates and to cease and desist from operating as an NVOCC is vacated; and

FINALLY, IT IS FURTHER ORDERED, That this proceeding is discontinued.

By the Commission.



Bryant L. VanBrakle
Secretary

ORIGINAL

(S E R V E D)
(JANUARY 18, 2002)
(FEDERAL MARITIME COMMISSION)

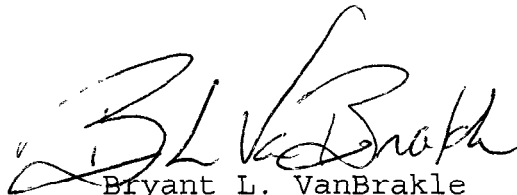
FEDERAL MARITIME COMMISSION

DOCKET NO. 00-05

WORLD LINE SHIPPING, INC.
AND SAEID B. MARALAN (AKA SAM BUSTANI)

NOTICE OF EXTENSION OF TIME

This is to give notice that the date set for issuance of the Commission's final decision is extended to January 25, 2002.


Bryant L. VanBrakle
Secretary